

JUDGMENT SHEET

IN THE LAHORE HIGH COURT,
MULTAN BENCH, MULTAN.
JUDICIAL DEPARTMENT

R.F.A. No.327 of 2014

M/s. Arbab Cotton Vs. Askari Bank Limited.
Industries and Oil Mills.

Judgment

DATE OF HEARING: 07.03.2017

APPELLANT BY: Raja Muhammad Majid, Advocate.

RESPONDENT BY: Malik Mohammad Kashif Rajwana,
Advocate.

MUZAMIL AKHTAR SHABIR, J. This appeal under Section 22 of the Financial Institutions (Recovery of Finances) Ordinance, 2001, is directed against the judgment and decree dated 19.12.2013 passed by Judge Banking Court-II, Multan, whereby suit filed by the respondent bank was decreed against the appellant.

2. Brief facts of the case are that the respondent bank filed suit for recovery against the appellant for an amount of Rs. 2,65,54,530.32 including mark-up. The respondent bank claimed that the appellant had obtained Letter of Guarantee (LG) finance facility against 37% cash margin on security of counter guarantees, personal guarantees for an amount of Rupees 35 million, which was got renewed with expiry period till 30.06.2009. Further the appellant obtained running finance facility as sub-limit for rupees 15 million. On failure of the appellant to

clear outstanding liability, the respondent bank filed recovery suit. The total particulars of the amount due were provided in the plaint as under:-

Particulars of Finance.	Amount of Finance	Outstanding in Rupee
LG Facility:-	Rs:35.00M	
➤ <i>Forced Finance:</i>		4,410,000.00
➤ <i>Mark up till 30.06.2009:</i>		203,387.99
➤ <i>LBP Markup till 30.06.2009</i>		4,493,520.11
➤ <i>Commission on LG:</i>		157,500.00
Running Finance (Sub-Limit of LG Facility)	Rs:15.00M	14,954,111.05
➤ <i>Markup till 30.06.2009:</i>		2,336,011.17
Total in Rupees:-		26,554,530.32

The appellant filed application for leave to defend which was dismissed and the suit was decreed against the appellant for an amount of Rs.2,17,00,122.22 with costs and the respondent bank was held entitled to cost of fund as certified by the State Bank of Pakistan from the date of default till realization. The appellant has now challenged the said judgment and decree in appeal.

3. From the application for leave to defend it is seen that the appellant had admitted that it had applied for letter of guarantee limit for rupees 35 million in favour of pesticide company/dealer for purchase of fertilizer, which was approved against the 37% cash margin and other securities. The appellant claimed that finance facility was adjusted later on and after 30.06.2008 the appellant never requested the respondent Bank to renew bank guarantee in his favour. As the availing finance facility has been admitted by the appellant and the appellant did not provide in his application that how this amount

was adjusted and returned and which deposits made by the appellant have not been reflected in the statement of accounts by the respondent bank, therefore, having failed to comply with the requirement of Section 10(3,4,5) of the Financial Institutions (Recovery of Finances) Ordinance, 2001, the application for leave to defend filed by the appellant was rightly dismissed by the Banking Court No.II, Multan. Only the matter of calculations remained with the Banking Court which was done by relying upon the duly filed statement of accounts available with the plaintiff.

4. As per statement of principal account (Mark-A/2) and statement of mark-up account (Mark-A/3), Rs. 1,49,54,111.05 as principal and Rs.23,36,011.17 as mark-up, total sum of Rs.1,72,90,122.22 are outstanding against the appellant for Running Finance Facility. As per statement of accounts (Mark A/4) relating to the term finance mark-up Rs.44,10,000/- as principal was found outstanding. No amount was allowed as mark-up against the said amount. The Banking Court disallowed mark-up on term financing amounting to Rs.2,03,387.99 as no rate of mark-up was agreed between the parties. The Banking Court also disallowed the claim of the respondent Bank for an amount of Rs.4,493,520.11 on account of markup on delayed payment on paid letter of guarantee, thereby the final amount outstanding against the appellant was determined as Rs.2,17,00,122.22.

5. No illegality, infirmity or wrong entry has been pointed out by the appellant in the statement of accounts submitted by the respondent

Bank, whereby the calculations of outstanding liability by the Banking Court could be declared to have been made erroneously and be liable to be set-aside.

6. For what has been discussed above, we find no merit in this appeal. Resultantly, the same is **dismissed**.

(SHAHID KARIM)
JUDGE

(MUZAMIL AKHTAR SHABIR)
JUDGE

Zeeshan Khan